

Deal Tax Projection

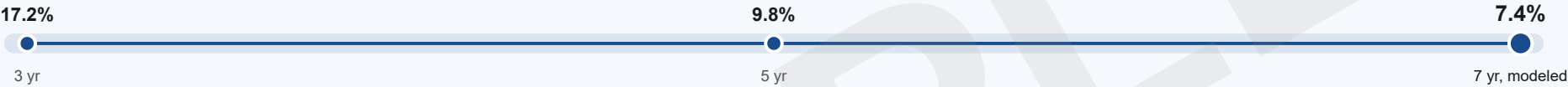
Northgate Apartments · Sacramento, CA

ILLUSTRATIVE SAMPLE — FICTIONAL DEAL (CREDevSim). Tax basis: 2027 placed-in-service (01/2027); rates as of 2026-10-02 carried forward. · Generated 2026-10-02 10:32

After tax, the LPs keep **7.4% IRR** and **1.42x** with no LP tax due in any year of the 7-year hold. The entire bill lands once, at sale.

AFTER-TAX LP IRR 7.4% 2.7 pts drag from the 10.1% pre-tax IRR	AFTER-TAX LP EQUITY MULTIPLE 1.42x against 1.62x pre-tax · \$3.457M of after-tax profit on \$8.169M invested	LP TAX DURING THE HOLD \$0 in every one of the 5 operating years. \$469 is what produces it: the depreciation loss is suspended rather than used, and that bank is released against the exit tax (Section 1).
SHELTER Straight-line No basis is accelerated in this scenario. \$469 banks the LP's operating losses through the hold; \$2.475M is still suspended at sale and frees then. The 25% short-life share is a rule-of-thumb assumption for this asset type, not an engineering cost segregation study.	TAX AT SALE, LP SHARE \$2.838M \$1.156M recapture + \$1.682M capital gain, at the LP share. Net of the \$469(g) release the LPs bear \$1.598M, or 32% of the \$5.056M pre-tax LP profit. (Section 3)	THE DECISION Does not screen a cost segregation study does not pay for the modeled investor on this deal (Section 2).

After-tax LP IRR by exit year. Sale price, debt, depreciation method and tax rates held constant; only the exit timing moves.



What moves this: the bonus rate for the placed-in-service year, how long the asset is held, and whether the sale is taxable or exchanged. Compare the after-tax IRR only against other after-tax returns, never against a pre-tax IRR.

Modeled investor: passive LP under §469; federal 37% ordinary, 25% unrecaptured §1250, 20% capital gain, plus 3.8% NIIT, and 9.3% state, entered directly rather than taken from the state table (a blended or multi-state rate). Depreciation: straight-line over 27.5 years, no bonus.

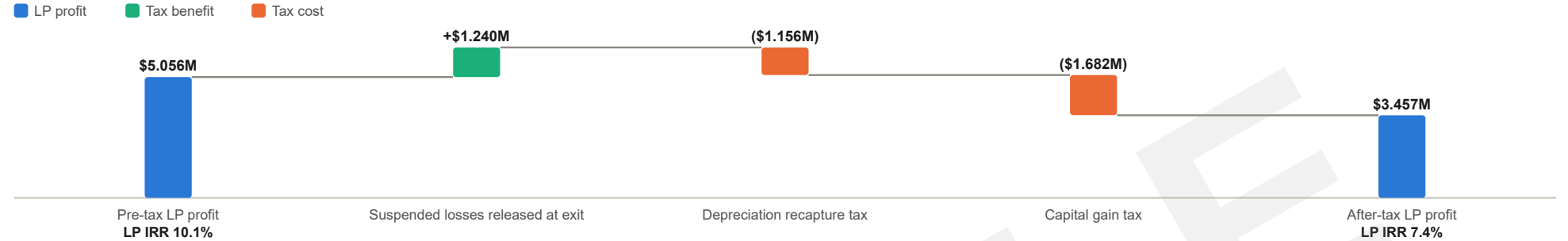
WHAT FOLLOWS, AND WHAT EACH SECTION DECIDES

1	After-tax return matrix	10.1% pre-tax to 7.4% after-tax
2	Cost segregation screening	does not screen for this investor
3	Exit tax map	\$2.838M LP share, 34.6% blended on gain
4	1031 exchange vs taxable sale	\$1.598M net if sold; an exchange defers the real-property share

1 AFTER-TAX RETURN MATRIX

LP figures are modeled after-tax at the asset level, not individualized per K-1: operating tax, released losses and recapture follow the LP share of contributed equity (100.0%), capital gain follows the LP share of exit profit (72.1%). The two differ because the waterfall is not pro-rata: the GP's promote takes a share of profit larger than its share of contributed capital, which pulls the LP share of exit profit below the LP share of contributed dollars. That profit share is what the distribution waterfall pays the LPs, so the GP's share of profit, including any promote, is already excluded from every LP figure. §1061 (carried interest) applies only to the GP's promote, and generally not to gain from a sale of the property itself, which is §1231 gain its regulations exclude (Treas. Reg. §1.1061-4(b)(7)). GP returns are in the Deal Summary.

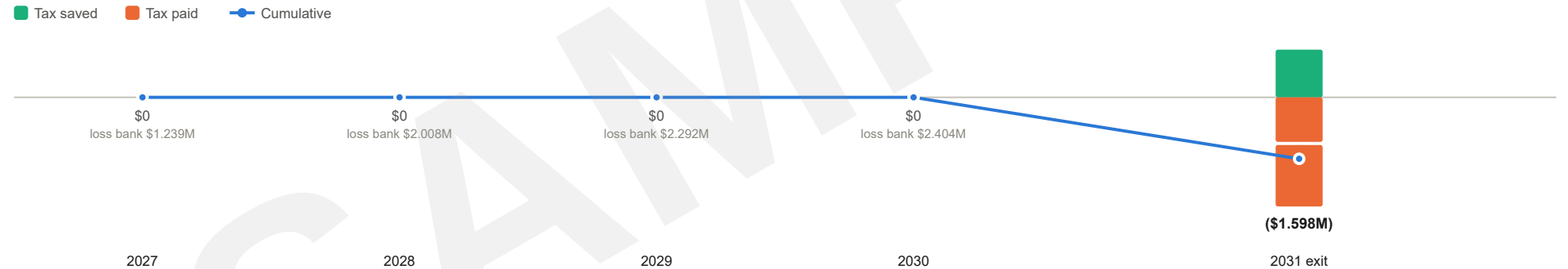
Where the pre-tax LP profit goes: pre-tax to after-tax, in dollars



	Whole deal	LP share	LP amount
Pre-tax LP profit			\$5.056M
Suspended losses released at exit	+\$1.240M	100.0%	+\$1.240M
Depreciation recapture tax	(\$1.157M)	100.0%	(\$1.156M)
Capital gain tax	(\$2.332M)	72.1%	(\$1.682M)
After-tax LP profit			\$3.457M

Recapture and capital gain tax are the whole-deal totals in the Exit Tax Map. LP share: operating tax, released losses, recapture and boot recapture at the LP share of contributed equity (100.0%); capital gain tax and boot capital gain at the LP share of exit profit (72.1%). The LP amounts foot to the after-tax LP profit behind the after-tax IRR above. Shown in dollars because IRR changes are not additive.

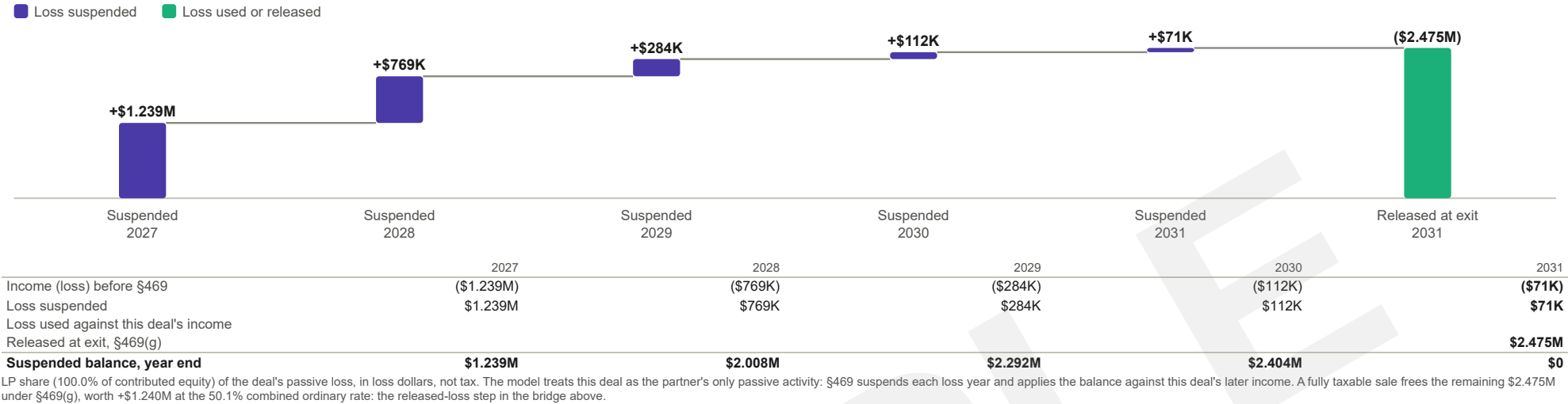
1 When the tax lands: LP tax by year



	2027	2028	2029	2030	2031 exit
Operating tax saved / (paid)	\$0	\$0	\$0	\$0	\$0
Exit tax items, net					(\$1.598M)
Net for the year	\$0	\$0	\$0	\$0	(\$1.598M)
Cumulative	\$0	\$0	\$0	\$0	(\$1.598M)

Same LP amounts as the bridge above, by calendar year. Exit year: losses released +\$1.240M, recapture (\$1.156M), capital gain (\$1.682M). A \$0 operating year is income sheltered by suspended \$469 losses (the loss bank below). The grey figure under a \$0 year is that year's suspended balance in loss dollars, not tax, and is not plotted on the axis above. The cumulative line ends at (\$1.598M), the after-tax less pre-tax LP profit.

1 The suspended passive loss bank (§469): why operating tax stays at \$0 until exit



2 COST SEGREGATION: SCREENING ESTIMATE

UNFAVORABLE

Short-life eligible basis (25% assumption)

Modeled passive LP, §469 applied: PV @ 8% of after-tax LP cash flow, cost segregation less straight-line

Study-fee breakeven, passive LP, §469 applied (LP gain + 100.0% LP share of contributed equity)

For comparison, breakeven for a real estate professional, losses used currently

This deal models the LP as a **passive** investor, so §469 suspends the first-year loss: it shelters the deal's own later income and the balance frees at a taxable exit, while the reclassified basis still recaptures at ordinary rates. Re-running this deal on both depreciation methods, after-tax LP IRR is 7.23% with cost segregation against 7.40% on straight-line, and after-tax LP profit differs by (\$91K) in nominal dollars. A real estate professional who can use the losses currently measures 9.99% against 8.47%, the comparison breakeven above. That comparison requires material participation, which a limited partner generally cannot establish (§469(h)(2); Temp. Reg. §1.469-5T(e)); it also models no 3.8% net investment income tax. Outside passive income from other activities does not move this at realistic levels — the band below shows why.

The passive breakeven falls as more basis is reclassified: suspended losses can only shelter this deal's own income, so reclassified basis beyond that waits for exit and adds ordinary-rate recapture.

Does outside passive income rescue it? Not at realistic levels. §469 groups a partner's passive activities, so outside passive income can free the suspended loss sooner — but here it does not flip the verdict until that income runs into the millions a year (only current use, a real estate professional, does):

No other passive income (this deal only)	\$4.245M
\$250K / yr of other passive income	(\$53.1K)
\$500K / yr of other passive income	(\$53.1K) study-fee breakeven
\$1.000M / yr of other passive income	(\$65.1K) study-fee breakeven
	(\$67.2K) study-fee breakeven
	(\$81.0K) study-fee breakeven
Real estate professional (uses losses currently)	\$372K

Modest outside income absorbs the straight-line baseline's steady losses more than cost segregation's front-loaded one, so the breakeven holds near — or slips just below — the single-activity figure until that income is large enough to consume the first-year loss, approaching the professional ceiling.

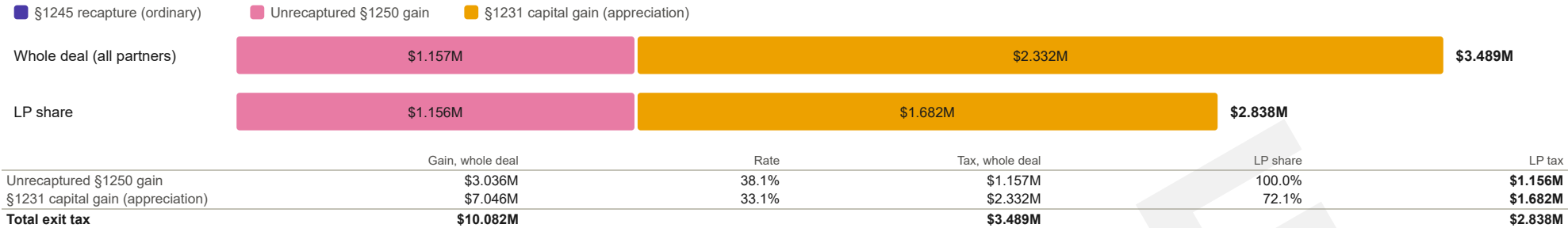
Basis of estimate

- The short-life % is a rule-of-thumb assumption applied to the client-supplied building basis (excluding land). It is **not** an engineering cost segregation study.
- Each breakeven re-runs this deal's full model twice, on cost segregation and on straight-line, with §469 applied to a passive partner and §1245 recapture at ordinary rates at exit.
- The after-tax LP cash flow difference is discounted at 8%, then grossed up to a deal-level fee by the LP share of contributed equity.
- The remaining building basis is modeled as 27.5-year real property; confirm that classification for this asset type.
- All depreciation on reclassified basis is assumed recaptured as §1245 ordinary income at exit. Section 3 notes where that overstates the tax.
- Actual eligible basis, benefit and recapture depend entirely on a property-specific study and the client's facts. Use as a screening threshold only.

Relationship to the rest of this report: this deal is modeled on straight-line depreciation, so the benefit above is **not** included in the returns in Section 1 or the recapture in Section 3. It is the forward upside available if a study is commissioned.

3 EXIT TAX MAP: WHOLE DEAL, WITH LP SHARE

TAXABLE EXIT · 34.6% BLENDED ON GAIN



Whole deal = all partners. LP tax applies the LP share of contributed equity to recapture and the LP share of exit profit to capital gain, and foots to the recapture and capital gain steps in Section 1.

Basis of estimate: exit tax

- Rates are combined federal + state (state 9.3%), so gain × rate reconciles to the tax shown. NIIT included where applicable.
- State tax is modeled for one investor resident state. An LP resident elsewhere, or taxed as a nonresident by the property's state, adds that state's tax to these figures. Entity-level state taxes (franchise, margin or gross receipts) are not modeled.

4 1031 EXCHANGE VS. TAXABLE SALE

This projection models a fully taxable disposition. A qualifying 1031 like-kind exchange could defer **\$3.489M** of exit tax (**\$2.838M** LP share, detailed in Section 3) into replacement property rather than recognizing it at sale. In a syndication the exchange is the partnership's election, not an individual LP's. That strategy is not reflected in these figures and would be evaluated separately against the client's reinvestment plans.

	Taxable sale, as modeled	1031 exchange, not modeled
LP exit tax recognized at sale	\$2.838M	\$0, deferred into the replacement property
Less: §469 suspended losses released, LP tax value	(\$1.240M)	not modeled: no \$469(g) release, but the losses would absorb the recognized personal-property gain
LP net tax at exit	\$1.598M	\$0

Basis of estimate: 1031 comparison

- Deferral, not forgiveness. The replacement property takes a carryover basis (§1031(d)), so the deferred gain comes back as lower depreciation over the new hold and a larger gain on the eventual taxable sale.
- The \$1.240M of §469 losses this projection releases at sale under §469(g) would not release in an exchange; only the personal-property gain recognized there would absorb part of them (§469(a)/(d)). That is why the net figure above is smaller than the headline deferral.
- Identification and closing deadlines (45 and 180 days, §1031(a)(3)) and the identity of the taxpayer that must acquire the replacement property govern whether any of this is available. Both are counsel questions, not modeling questions.

Prepared by Kasing Ng, CPA, California CPA License 139270. Basis of preparation. This projection was prepared as an illustrative sample using representative composite inputs. All figures are estimates, not a filed return, an audit, or an engineering cost segregation study, and they will differ from actual results as facts, market conditions, and final tax positions develop. Rates reflect federal tax law in effect on 2026-10-02; bonus depreciation follows the method modeled for the placed-in-service date stated above. Depreciation, recapture, capital gains, and 1031 treatment are modeled at the asset level using the rates and assumptions stated on this report, not an individualized per-partner K-1 allocation. Scope. This is a non-attest advisory analysis of the deal's tax posture, performed at the sponsor's request. It is not an audit, review, or compilation, and no assurance and no independence is asserted or implied. The preparer is not the signing return preparer and does not opine on the client's filed returns; final positions should be confirmed with the client's return preparer and legal counsel. Methodology. IRR is computed by monthly Newton-Raphson iteration (tolerance 1e-8) on the full cash-flow array, with no annual approximations, and every figure in this report can be reconciled to the deal inputs. Illustrative sample. This is an illustrative sample built on a fictional deal, not an actual client model. Figures are illustrative only and are not tax advice. Provided for display and publication as a sample of CREDevSim's work product. Questions on any figure in this report go to Kasing Ng, CPA, kasing@credevsim.com (credevsim.com).